AGGREGATE SUPPLY CURVE

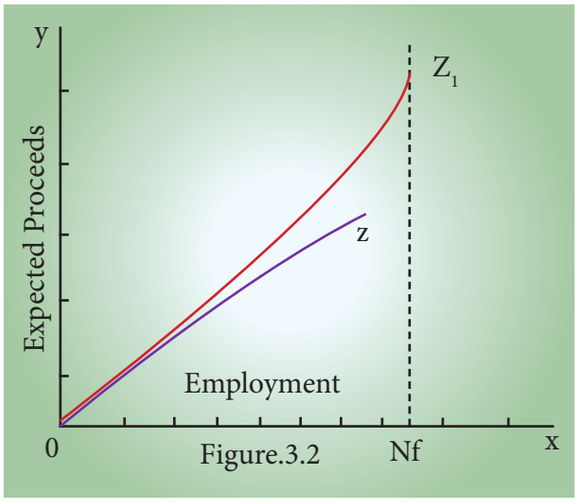


Figure.3.2

Z curve is linear where money wages remains fixed; Z_1 curve is non - linear since wage rate increases with employment. When full employment level of Nf is reached it is impossible to increase output by employing more men. So aggregate supply curve becomes inelastic (Vertical straight line).

The slope of the aggregate supply curve depends on the relation between the employment and productivity. The capital stock is often fixed and hence the law of diminishing marginal returns takes place as more workers are employed. Based upon this relation, the aggregate supply curve can be expected to slope upwards. In reality the aggregate supply curve will be like Z1 in figure 3.2. Therefore, the aggregate supply depends on the relationship between price and wages. If prices are high and wages low, the producers will try to employ labourers. If prices are low and wages high, investment will be curtailed, output will fall and there will be a reduction in the productive capacity. Thus aggregate supply is an important factor in determining the level of economic activity.

3.6.3 Equilibrium between ADF and ASF

Under the Keynes theory of employment, a simple two sector economy consisting of the household sector and the business sector is taken to understand the equilibrium between ADF and ASF. All the decisions concerning consumption expenditure are taken by the individual households, while the business firms take decisions concerning investment. It is also assumed that consumption function is linear and planned investment is autonomous.

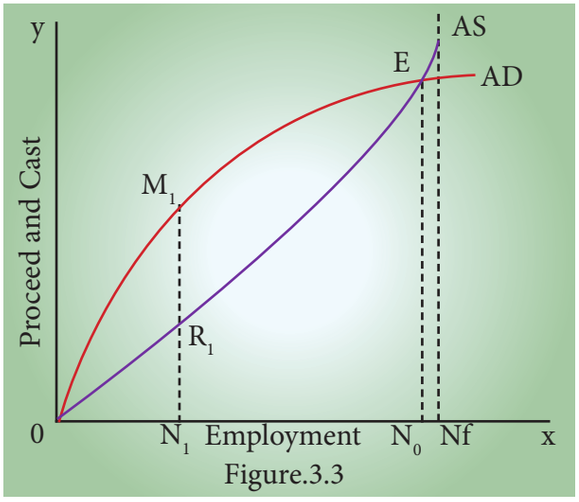


Figure.3.3

There are two approaches to determination of the equilibrium level of income in Keynesian theory. These are :

1. Aggregate demand – Aggregate supply approach
2. Saving – Investment approach

In this chapter, out of these two, aggregate demand and aggregate supply approach is alone explained to understand the determination of equilibrium level of income and employment.

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